NON-REPORTABLE

IN THE SUPREME COURT OF INDIA
CIVIL APPELLATE JURISDICTION

CIVIL APPEAL NO. 5981 OF 2023
(Arising out of SLP (C) No. 9317 of 2023)

KAVERI POWER COMPONENTS PVT. LTD. ...APPELLANT(S)

VERSUS

DAKSHIN ELECTRO MACHINES LTD. ...RESPONDENT(S)

J U D G M E N T

S. P. VENKATACHALAM, J.

1. Leave granted.

2. The appellant challenges the order of the High Court appointing a sole arbitrator under Section 11(6) of the Arbitration and Conciliation Act, 1996 ("the 1996 Act") notwithstanding that Clause 28 of the agreement provides for a tribunal of three arbitrators, one to be nominated by each party and the third, the presiding arbitrator, to be chosen by the two nominees.

3. The respondent had nominated its arbitrator but the appellant failed to nominate within the stipulated period. The respondent applied to the High Court which, on the ground of saving time and costs, appointed a sole arbitrator.

4. We have heard learned counsel for the parties. The point for consideration is whether the Court, in exercise of its power under Section 11(6) of the 1996 Act, may substitute a sole arbitrator in place of the agreed three-member tribunal.

5. Party autonomy is the foundation of arbitration. Section 11(6) enables the Court to take the necessary measure when a party fails to act as required under the agreed procedure; it is not a licence to rewrite the procedure.

6. Where the arbitration agreement stipulates a three-member tribunal, the Court exercising power under Section 11(6) of the Arbitration and Conciliation Act, 1996 must ordinarily appoint arbitrators in conformity with the agreed composition and cannot substitute a sole arbitrator unless the parties so agree.

7. The appeal is allowed. The High Court shall appoint the nominee of the appellant on its behalf, and the two nominees shall choose the presiding arbitrator. Pending

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applications stand disposed of.

.....J.
[S. P. VENKATACHALAM]

.....J.
[TARUN V. KHANDPUR]

NEW DELHI;
OCTOBER 05, 2023.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment